I included this picture because the width of the three inverted and ascending scallops narrows as price climbs. Such narrowing gives traders a clue to the trend end. If you see a narrow scallop forming, consider whether the upward trend is long in the tooth and due to reverse. Then trade accordingly. This stock climbed to 46 in mid-June 2002 before tumbling to almost 30 in July (not shown).

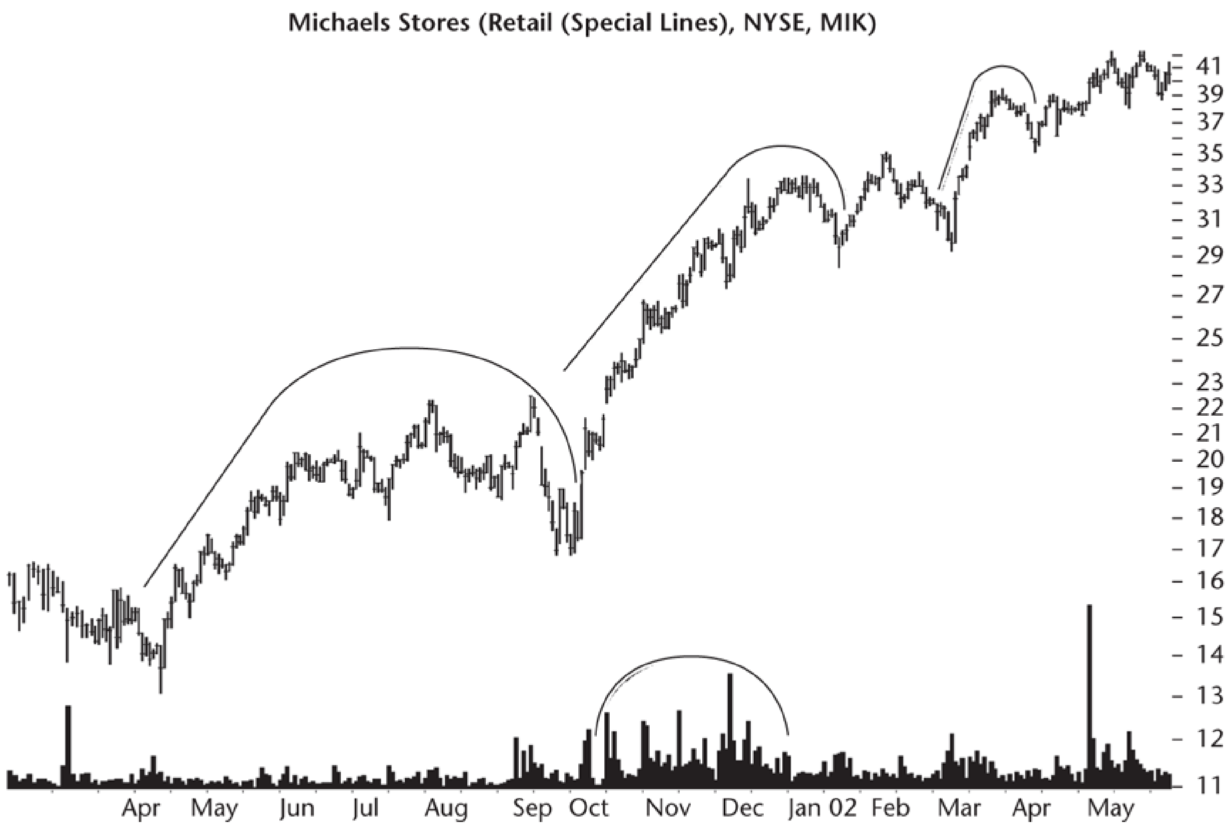

Figure 58.3 Notice how scallops become shorter and narrower as price rises.

Focus on Failures

How does the scallop fail? Most of the problems deal with selecting patterns incorrectly. Identification is never easy until you become acquainted with the pattern, so here are two scenarios to look for. The first, shown in **Figure 58.4**, is selecting a pattern in a downtrend.

If you are lucky, your pattern will confirm and price will rise in a long-term bull trend. However, you'll want to avoid lemons like that shown in the figure.